CASCADIA ANALYTICS

Synopsys, Inc.

Equity Research Note | SNPS | 21
OCTOBER 2026

EDA Duopoly Compounder

Synopsys screens as a Hold, Valuation Concerns with a $332.23 blended target, 27% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$454.87	$332.23	-27%	HOLD, VALUATION CONCERNS

Investment Thesis

EDA Duopoly Compounder. Synopsys and Cadence effectively own chip design software. AI is increasing design complexity, driving double-digit EDA growth. Recurring revenue and 73% gross margins [10-K FY25]. Ansys Integration Working. One year post-close, Ansys contributed $711M in Q3 and the joint Multiphysics Fusion platform launched. FY26 guidance raised on revenue, margin, EPS, and cash flow [8-K Q3 FY26]. Full Valuation. At $454.87 [Mkt 16-Oct-26], the stock trades 37% above our $328.64 DCF base. The business is

- EDA Duopoly Compounder
- Ansys Integration Working
- Full Valuation

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The latest print

Ansys Integration Working. One year post-close, Ansys contributed $711M in Q3 and the joint Multiphysics Fusion platform launched. FY26 guidance raised on revenue, margin, EPS, and cash flow.

Full Valuation. At $454.87, the stock trades 37% above our $328.64 DCF base. The business is exceptional; the price already assumes the FY27 targets are met.

$2.477B	$3.91	$9.69–9.74B	$15.04–15.10	$11.1–11.2B	$10.9B
REVENUE (Q3 FY26)	EPS (Q3 FY26, NON-GAAP)	FY26 REVENUE GUIDE (RAISED)	FY26 NON-GAAP EPS GUIDE	FY27 REVENUE TARGET	BACKLOG

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q3 FY26)	$2.477B	+42.4%	Up
EPS (Q3 FY26, non-GAAP)	$3.91	+15.3%	Up
FY26 Revenue Guide (raised)	$9.69-9.74B	n/a	Up
FY26 non-GAAP EPS Guide	$15.04-15.10	n/a	Up
FY27 Revenue Target	$11.1-11.2B	+15%	Up
Backlog	$10.9B	n/a	Flat
Revenue (FY25)	$7.05B	+15.1%	Up

The moat

AI-driven EDA demand; double-digit EDA growth guided for FY26

The growth engine

Ansys integration: $711M quarterly revenue, Multiphysics Fusion platform

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	2026-31 CAGR	2031 REVENUE	2031 FCF MARGIN	TARGET	UPSIDE
Bear	25%	9.0%	$14.95B	24.0%	**$236.48**	-48%
Base	50%	13.0%	$17.90B	28.0%	**$328.64**	-28%
Bull	25%	16.5%	$20.85B	32.0%	**$435.15**	-4%

Bear: downside case at $236.48 (-48%).

Base: central case at $328.64 (-28%).

Bull: upside case at $435.15 (-4%).

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The probability-blended target implies 27% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -27% from the $454.87 reference price.

$332.23
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$9.71B**
Valuation horizon	**2026-2031**
Live WACC	**9.19%**
Terminal growth	**3.5%**
Net debt	**$6.43B**
2031 FCF (Base)	**$5.01B**
10-year Treasury yield	**5.1%**
Beta	**1.23**
Equity risk premium	**3.7%**

HOLD, VALUATION CONCERNS | $332.23 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 19.1%. at/above Base (13%) — constructive

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
+0%	$0.0B	$187.00	+20%	$0.1B	$473.58
+1%	$0.0B	$197.02	+21%	$0.1B	$493.59
+2%	$0.0B	$207.42	+22%	$0.1B	$514.25
+3%	$0.0B	$218.21	+23%	$0.1B	$535.58
+4%	$0.1B	$229.41	+24%	$0.1B	$557.58
+5%	$0.1B	$241.02	+25%	$0.1B	$580.28
+6%	$0.1B	$253.06	+26%	$0.1B	$603.69
+7%	$0.1B	$265.54	+27%	$0.1B	$627.83
+8%	$0.1B	$278.47	+28%	$0.1B	$652.71
+9%	$0.1B	$291.86	+29%	$0.1B	$678.36
+10%	$0.1B	$305.73	+30%	$0.1B	$704.79
+11%	$0.1B	$320.09			
+12%	$0.1B	$334.95			
+13%	$0.1B	$350.32			
+14%	$0.1B	$366.23			
+15%	$0.1B	$382.68			
+16%	$0.1B	$399.69			
+17%	$0.1B	$417.26			
+18%	$0.1B	$435.43			
+19%	**$0.1B**	**$454.19**			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$51.99B	—	3.5%	-$6.43B	$45.56B	**$236.48**
Base	$69.74B	—	3.5%	-$6.43B	$63.31B	**$328.64**
Bull	$90.26B	—	3.5%	-$6.43B	$83.83B	**$435.15**

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Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030	2031
Bear	$236.48	$258.24	$267.21	$276.01	$284.57	$292.81	$300.62
Base	$328.64	$358.87	$377.11	$394.94	$412.06	$428.06	$442.48
Bull	$435.15	$475.18	$504.12	$532.60	$559.98	$585.40	$607.79

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $332.23 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

AI-driven EDA demand; double-digit EDA growth guided for FY26

Ansys integration: $711M quarterly revenue, Multiphysics Fusion platform

Design IP returned to YoY growth; Amazon and OpenAI partnerships

Revenue and margin trend

METRIC	FY21	FY22	FY23	FY24	FY25
Revenue	$4.20B	$5.08B	$5.84B	$6.13B	$7.05B
Gross Margin	79.2%	78.5%	78.0%	77.1%	72.8%
Op Margin	24.1%	26.8%	28.4%	30.2%	12.5%

Valuation cross-check

NTM P/E 24.4x

DCF Base $328.64 vs $454.87 spot

PEG 2.44

DCF implies 28% downside to fair value. PEG of 2.44 signals growth is fully priced.

CDNS ~30x NTM P/E

Trades at a modest discount to Cadence despite comparable growth.

Trading above 5-year average multiples

Premium reflects Ansys deal and AI positioning, but leaves little room for error.

What to monitor

Dec 2026. Q4 FY26 Earnings: EDA acceleration and Ansys synergy proof point.

Sep 2026. Investor Day FY27 targets ($11.1-11.2B rev) already set the bar; execution is the test.

2027. $1B share repurchase program supports EPS.

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Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$4.2B	$3.3B	$735M	—
2022	$4.6B	$3.7B	$1.2B	$1.3B
2023	$5.3B	$4.3B	$1.3B	$1.6B
2024	$6.1B	$4.9B	$1.4B	$1.8B
2025	$7.1B	$5.4B	$915M	$2.5B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$9.4B	$3.9B	$5.5B	$1.4B
2023	$10.3B	$4.1B	$6.1B	$1.4B
2024	$13.1B	$4.1B	$9.0B	$3.9B
2025	$48.2B	$19.9B	$28.3B	$2.9B

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$1.7B	$-139M	$-1.1B	$1.6B
2023	$1.7B	$-192M	$-1.2B	$1.5B
2024	$1.4B	$-140M	$-181M	$1.3B
2025	$1.5B	$-169M	$13.4B	$1.3B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $332.23 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 35 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 2.99% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $52.84M of sales, a net flow of -$52.84M. One-year total shareholder return is -1.5% against CEO total pay of $2.09M (Mr. Sassine Ghazi), which the model scores as SUB-OPTIMAL ALIGNMENT.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	15 / 40	2.99% of shares held by insiders
Form 4 Flow (Conviction Flow)	8 / 30	Buys $0 (0) vs sales $52.84M (7), net -$52.84M, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -1.5%; Mr. Sassine Ghazi, CEO, President & Director, total pay $2.09M
Agency Risk Score	**35 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Synopsys, Inc. valuation framework

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-10-06	Kankanwadi Sudhindra	Officer	SELL	12,170	$6.04M
2026-10-06	Lee Janet	General Counsel	SELL	1,143	$574.7K
2026-09-15	Ghazi Sassine E	Chief Executive Officer	SELL	14,604	$5.47M
2026-09-01	De Geus Aart J	Officer and Director	SELL	49,641	$21.38M
2026-08-28	De Geus Aart J	Officer and Director	SELL	25,000	$11.14M
2026-06-15	Ghazi Sassine E	Chief Executive Officer	SELL	14,603	$6.70M
2026-06-12	Glaser Shelagh M	Chief Financial Officer	SELL	3,394	$1.53M

SEC proxy audit, DEF 14A filed 2026-02-19

Alignment grade B. COMPENSATION DATA NOT DISCLOSED. Sassine Ghazi, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The provided proxy statement excerpt covers governance highlights and the CD&A outline but omits the Executive Compensation Tables starting on page 80. CEO Sassine Ghazi led the company through the strategic Ansys acquisition closed in July 2025, operating under compensation governance emphasizing equity and pay-for-performance. Quantitative assessment of incentive target achievement and direct alignment with TSR cannot be calculated without the omitted Summary Compensation Table.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/883241/000088324126000007/snps-20260219.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Ansys Integration

$13.5B in debt from Ansys; integration missteps or synergy shortfalls would pressure the multiple.

Semis Cyclicality

Semiconductor capex cycles drive EDA spending; a chip downturn hits license growth with a lag.

Competition

Cadence is a formidable competitor; share shifts in EDA are slow but material.

The strengths

Operating Quality

EDA duopoly with Cadence, 80%+ recurring revenue, mission-critical design software. Ansys adds simulation leadership. Gross margins ~73%. The moat is structural.

Recent Trend

Q3 beat on every metric, raised FY26 guidance across the board. Ansys contributing $711M. Design IP back to growth after multi-quarter reset. Clean execution.

Forward Growth

FY27 targets ($11.15B rev, $19.08 EPS) imply ~15% growth. Double-digit EDA growth guided. Amazon and OpenAI partnerships open new vectors.

Valuation

At $454.87 vs $328.64 DCF base, the stock is 37% above fair value. NTM P/E 24.4x and PEG 2.44 are full. Quality deserves a premium, but not this much.

Cascadia scorecard

Composite score 73: Attractive. Confidence High, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	EDA duopoly with Cadence, 80%+ recurring revenue, mission-critical design software. Ansys adds simulation leadership. Gross margins ~73%. The moat is structural.	90
Recent Trend	Q3 beat on every metric, raised FY26 guidance across the board. Ansys contributing $711M. Design IP back to growth after multi-quarter reset. Clean execution.	85
Forward Growth	FY27 targets ($11.15B rev, $19.08 EPS) imply ~15% growth. Double-digit EDA growth guided. Amazon and OpenAI partnerships open new vectors.	80
Valuation	At $454.87 vs $328.64 DCF base, the stock is 37% above fair value. NTM P/E 24.4x and PEG 2.44 are full. Quality deserves a premium, but not this much.	45
Catalysts & Risk	Q4 earnings test the EDA acceleration thesis. $1B buyback supports. Ansys integration is the key risk; any synergy shortfall hits the multiple. Positive skew on AI demand.	70

Investment view

A Q4 miss or Ansys synergy shortfall would cut Forward Growth and Trend. Evidence of accelerating EDA share gains could support a higher multiple.

Investment view: Hold, Valuation Concerns. The $332.23 blended target implies -27%, balancing the $236.48 / $328.64 / $435.15 Bear / Base / Bull outcomes.

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